

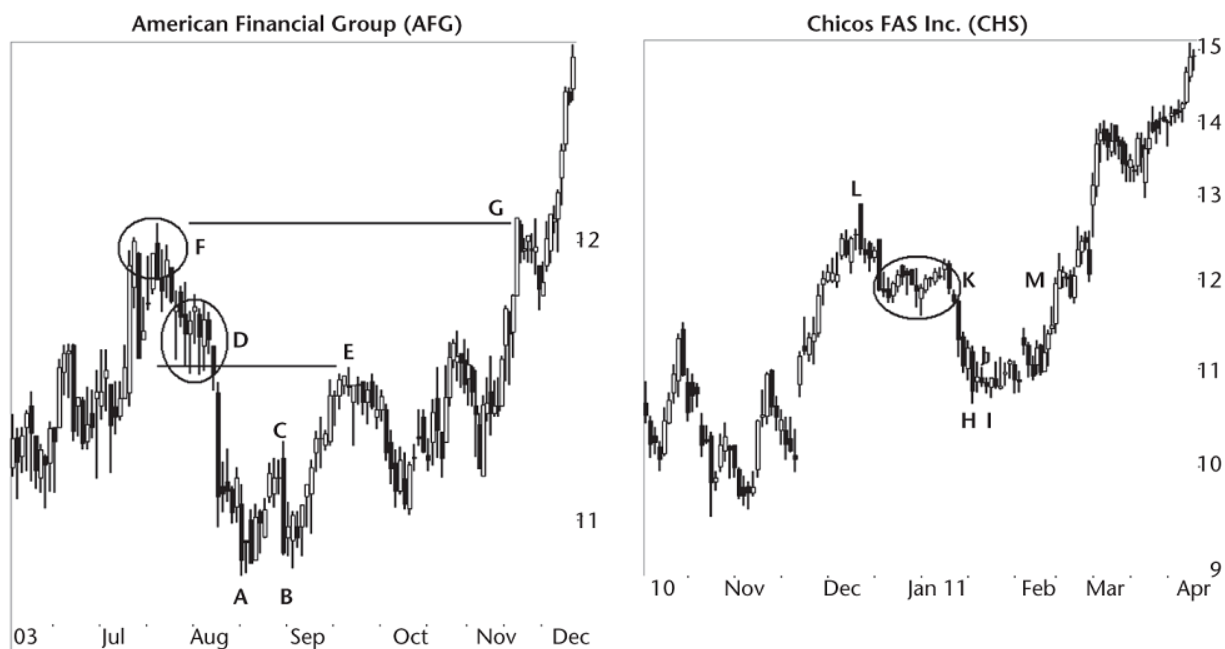


Figure 1.9 Here are two setups that work well for swing trading throwbacks.

You can set a limit order to sell at the top of the knot, but the bottom of the knot works better (less risky). In this case, it *did* work better when the rise to E triggered the order and sold the position. You don't make a lot of money trading the throwback (7% or 8%), so you might have to increase the position size to make it worthwhile. *Do* place a stop-loss order a penny below the lower of the two bottoms (below A in this case).

Setup 2

The prior setup captures the run up to the throwback. What if you want to capture more of an advance? This is a more risky setup, but it also works well. Look for the second higher knot. I show that at F. That's your target.

In this case, the knot is composed of peaks, a ragged top with price spiking upward. Price also moves sideways here for at least 3 days, with lots of overlap, so it's a good area of overhead resistance.

The stock recovers from the throwback and rises to G where it hits resistance setup by the second, higher knot, F. After that, price struggles to push through that resistance but eventually does in this example.